

7 October 2025

Secretariat of the ICC International Court of Arbitration
33-43 avenue du Président Wilson 75116 Paris, France
Via ICC Case Connect and email

Re: Case No. 29534/ICA3 - Challenge to the Appointment of Sole Arbitrator under Article 14
ICC Rules

Dear Members of the Secretariat,

With its letter dated 12 September 2025, the Secretariat of the ICC International Court of Arbitration informed the Parties that at its Session of 11 September 2025, the ICC Court appointed Ms. Friederike Schäfer as sole arbitrator in the above referenced case.

In accordance with Art 14 ICC Rules, within the deadline stipulated therein, Elcomponics Holdings B.V. hereby **challenges the appointment of Ms. Friederike Schäfer as sole arbitrator** on the grounds of lack of specific background and qualification required in the present case.

Grounds for the challenge

Pursuant to Art 14 para 1 of the ICC Rules, an arbitrator may be challenged *for an alleged lack of impartiality or independence, or otherwise*. The *otherwise* is thereby broad, allowing the parties the possibility to challenge an arbitrator on any basis¹ and for any reason they consider appropriate.² This includes *inter alia* challenges raised based on an arbitrator's lack of required qualifications under the ICC Rules *or* the parties' specifically agreed qualifications.³

Claimant conducts this arbitration proceedings based on a contract governed by English law – the Shareholder Agreement (“SHA”) dated 24 March 2023. Clause 10.1 of the SHA provides for the governing law and reads as follows “[t]his Agreement and the rights and obligations arising out of or in connection with this Agreement shall be governed by and construed in accordance with English Law, subject to mandatory provisions of Austrian and Indian laws.” The law governing the SHA is hence explicitly and by agreement of the Parties English law.

This is accordingly depicted in the ICC’s letters with the *Case Information*,⁴ which in the section “Agreements upon which the Request is based” refer to the Shareholders Agreement (SHA) dated 24 March 2023 and quote the arbitration agreement included in Article 10 of this agreement. The jurisdiction of the sole arbitrator appointed in the present case is also based on this very agreement.

Against this background, Claimant reiterates that the present dispute – considering both the relevant arbitration agreement and the efficiency of the proceedings – shall be decided by a sole arbitrator with

¹ Daele, Challenge and Disqualification of Arbitrators in International Arbitration (2012), p. 97.

² Daele, Challenge and Disqualification of Arbitrators in International Arbitration (2012), para 5-044 on p 242.

³ Jahnel/Loong, Arbitration in Switzerland: the Practitioner’s Guide (Chapter 17, Part II; Commentary on the ICC Rules, Article 14 [Challenge of arbitrators]), p. 2276.

⁴ Cf ICC Letters including *Case Information* dated 3 June 2025, 8 and 21 August 2025 and 12 September 2025.

legal background under English law, including expertise in contractual interpretation, shareholder rights and remedies, joint venture arrangements, and put option mechanics under English law.⁵ This is even more so relevant considering the difference between English law – being common law – on the one side, and Austrian law (civil law) on the other side.

It is thereby reminded that while the Parties are in disagreement as to the level of importance of English law, they in principle agree that the appointed arbitrator shall have *inter alia* (i) previous experience with both Austrian and English law applicable and (ii) experience in international arbitration, particularly involving joint venture disputes, shareholder agreements, and complex financial issues (*ideally financial understanding sufficient to comprehend accounting issues and expert evidence related to EBIDTA calculations, financial statement analysis and valuation methodology*).⁶ In this respect Claimant notes that the SHA's governance by English law necessarily requires primary expertise in English commercial law. Indeed, the Put Option enforcement, shareholder remedies, warranty breach assessment, and damages quantification all require substantive English commercial law expertise while Austrian law sets genuinely mandatory provisions that might limit specific remedies, not to rewrite the entire contractual framework. Indeed, given the agreement that the SHA is governed by English law, it was Claimant's (CEO's) understanding at the time of the conclusion of the arbitration agreement that the arbitrator appointed in case of dispute would have an English law background.

In the attempt of construing an jurisdictional objection, Respondents want all roads to lead to Austria: they intend to undermine the relevance of English law arguing that main issues of the dispute nevertheless have to be resolved under Austrian law, even suggesting that – pursuant to the Share Sale and Transfer Deed (“SPA”) and the Completion Memorandum – present claims are subject to arbitration under VIAC Rules and Austrian law⁷, explicitly claiming in their Answer to the Request for Arbitration that 'the SPA Governs Claimant's Claims'.⁸ They invoked Austrian tax group restructuring, arguing corporate income tax consolidation mechanisms supersede SHA warranties; asserted that the retroactive demerger operates under mandatory Austrian provisions that override contractual safeguards; claimed that as a GmbH, Invictus Cable is "not permitted to hold its own shares" and would be "legally unable to fulfil" Put Option obligations.⁹ Besides fundamentally mischaracterizing the limited role of mandatory provisions, which cannot overwhelm the governing law as a whole, Respondents thereby attempt to deflect the attention from the fact that the Claimant has based his Request for Arbitration and claims on the SHA and the dispute is a contractual one.

Notably, Respondents already possess adequate safeguards. Austrian enforcement courts can refuse recognition under Article V(2)(b) of the New York Convention if enforcement contravenes genuinely mandatory Austrian law. This protection makes their demand for Austrian-qualified arbitration unnecessary. By contrast, Claimant has no remedy if the tribunal misapplies English law due to lack of expertise. This asymmetry reemphasises why English law expertise must be paramount.

Thus, the relevant agreement is the SHA and the choice of law expressed therein, even more so because, if Respondents' view were correct (*quod non*), the objection on jurisdiction would be

⁵ Letter of Claimant 15 July 2025.

⁶ Cf the letter of the ICC dated 25 July 2025.

⁷ Answer to the Request for Arbitration dated 4 August 2025 para 33.

⁸ Answer to Request for Arbitration, 4 August 2025, para 26.

⁹ Answer to Request for Arbitration, 4 August 2025, para 37.

justified and the arbitration would have to be conducted under the Vienna Rules and administered by VIAC. Thus, either Respondents succeed, in which case the arbitrator would have to find that he/she lacks jurisdiction, or the claims are found to be based on the SHA. In both cases Austrian law is not of (primary) relevance, in the latter case it is clearly English law.

While Claimant by no means questions Ms. Schäfer's integrity, experience and competence in general and notes that her professional accomplishments command respect, she unfortunately appears to lack the required qualifications as required by the parties' arbitration agreement, in the present case. Pursuant to the available information, her professional career is strongly rooted in Austria: prior to and after her engagement as Counsel at the ICC Secretariat, Ms. Schäfer has worked as associate and partner at law offices in Austria, passed the bar exam in Austria and since 2022, she is Partner with Zeiler Rechtsanwälte GmbH from Austria, with limited exposure to English law and the noted qualifications in particular.

Claimant furthermore notes in this regard *firstly*, that exactly in such cases, when faced with such a choice, arbitrators may find themselves gravitating toward laws with which they are more familiar with.¹⁰ This exact risk of Ms. Schäfer applying and gravitating towards Austrian law as the law she is clearly more familiar with is, is apparent in the present case and represents a significant disadvantage for Claimant, besides being in direct contradiction of the Parties' agreement of the underlying Contract being governed by English law.

Secondly, while Claimant is seated in the Netherlands, all Respondents as well as their legal counsel are seated in Austria. Ms. Schäfer, appointed as sole arbitrator in the present case, is partner at a law office based in Austria with over 10 years of experience working for law firms in Austria. This creates a clear asymmetry and endangers the appearance of procedural fairness to the detriment of Claimant. At the same time, despite the sole arbitrator's German nationality, one cannot overlook her close connection to Austria which in this case has the same weight as possessing its nationality. The appointment of Ms. Schäfer in the present case hence equals to, or at least it can be qualified as, a circumvention of the lack of agreement to the appointment of an Austrian national to act as sole arbitrator.¹¹

Finally, Claimant invites the ICC Court to consider that present proceedings are at the very outset¹² and that the file was transferred to the Sole Arbitrator on 12 September 2025. The proceedings would

¹⁰ Kim, ICC Dossier No. 8: Is Arbitration only As Good as the Arbitrator? Status, Powers and Role of the Arbitrator (2011), pp. 65 et seq. (*emphasis added*):

"I have observed by my own experience as counsel in arbitrations, and in reading about others' arbitrations, that in cases where the proper decision in a choice-of-law analysis is murky or where there may appear to be countervailing considerations, such as policy, justice or convenience, arbitrators are sometimes tempted to take short cuts or a pragmatic approach and apply laws that are, for instance, more familiar to the arbitrator or more consistent with what the arbitrator believes to be better policy or a better ground for giving parties a 'just' opportunity or result.

In facing choice-of-law questions, an arbitrator may find that several different bodies of law present themselves as potentially viable contenders. In such cases, arbitrators may find themselves gravitating, when faced with such a choice, toward laws with which they are more familiar or that provide the result they believe is proper in light of the circumstances or policy considerations."

¹¹ As noted in the Letter of the ICC dated 1 August 2025.

¹² Cf Daele, Challenge and Disqualification of Arbitrators in International Arbitration (2012), pp. 242 seq and 251 seq;

hence not affect the efficiency of the proceedings. The efficiency in fact speak for the appointment of a Sole Arbitrator with English law background.

Finally, Claimant is concerned that the appointment appears to accommodate Respondents' strategic preferences while overlooking Claimant's criteria and ignoring the agreement in the underlying contract. Respondents repeatedly urged appointment of an Austrian-qualified arbitrator and continue their strategy to downsize the relevance of English law despite the present proceedings being based on it in line with the arbitration agreement in the SHA.

Ms. Schäfer's profile corresponds closely to the Austrian law expertise Respondents advocated for, supporting their theory that Austrian law should predominate. When the appointment aligns so directly with one party's strategic preferences at the very outset of the case, it risks creating an appearance of procedural imbalance.

Request

For the reasons set out above, Claimant respectfully requests the ICC Court to replace Ms. Schäfer by appointing a sole arbitrator in line with above noted criterion, in particular with substantive knowledge of and expertise in English law as the law governing the contract the present arbitration proceedings are based on.

With the aim of adopting a more transparent and consultative selection process, Claimant thereby suggests that the appointment procedure occurs in consultation between the parties and the Secretariat based on the list procedure i.e. that a list of candidates be submitted to the parties (to strike a limited number of names and rank the others by order of preference).¹³

Should the Court decline Claimant's request, Claimant hereby preserves its objection for any subsequent annulment proceedings before the French courts under and to resist enforcement of any adverse award before Austrian or other enforcement courts under Article V(1)(d) of the New York Convention.

Claimant remains committed to efficient resolution by a suitably qualified tribunal who can apply the English law framework the parties negotiated while appropriately limiting Austrian law's role to genuinely mandatory provisions.

"Furthermore, the standard appears to be a stringent one, particularly as the arbitration advances. Whereas, at the outset of the arbitration, the ICC Court will generally refuse to confirm an arbitrator if the non-appointing party presents objections that have a reasonable basis, it will normally not disqualify an arbitrator in the course of the arbitration unless 'it appears likely that he/she is not, in fact, independent'."

(...)

5-071 As indicated above, the ICC Rules do not contain a clear standard for the disqualification of arbitrators. In practice, it appears that the ICC Court applies different standards, depending on the stage of the arbitration. At the outset of the arbitration, when the ICC Court is examining whether to confirm or appoint an arbitrator, it tends to accord greater weight to the objections of the non-nominating party as to the arbitrator's independence or impartiality. In general, it will endeavor to avoid conforming or appointing an arbitrator where a party's objections have an appearance of reasonableness.

¹³ Cf ICC Note to Parties and Arbitral Tribunals, para 37 et seq.

Yours faithfully,



CMS Reich-Rohrwig Hainz
Rechtsanwälte GmbH



Luthra and Luthra
Law Offices India